the four-year cycle that held fast from 1954 until 1982 (see Figure 2-5 for reference), producing seven revolutions marking eight market bottoms. Had an observer recognized that cycle in 1962, he could have amassed a fortune over the next two decades on the basis of that one observation alone. However, in 1986, the falling portion of the cycle failed to provide a bear market, and in 1987, its rising portion failed to prevent the biggest two-week crash since 1929.

Elliott Wave Principle demonstrated the fundamentality of the Wave Principle relative to cycles by actually forecasting the demise of the four-year cycle. Because wave V was expected to behave more like wave I than wave III (since wave III was the extension), the authors made this forecast:

> The current wave V, then, should be a simpler structure [than wave III] with shorter cycle lengths, and could provide for the sudden contraction of the popular four-year cycle to more like three and a half years.

In fact, a 3-year cycle, beginning in 1975 and with lows in 1978, 1981, 1984, 1987 and 1990 held sway from that point forward, whereas the 4-year cycle bottom due in 1986 was hardly discernible. Even the 3-year cycle may now have disappeared, since there was no cyclic bottom in 1993. Since the stock market today is shifting from an advancing Grand Supercycle to a declining one, even very long term cycles, which are the focus of this chapter, are at risk of termination. Indeed, given my best efforts using the cyclic method of time forecasting, I have experienced over the years at least as many failures as successes. Then why undertake the analysis?

The value of these exercises is not so much precise prediction, but extra knowledge that can be weighed against market behavior *when the indicated times arrive*. In the context presented here, this knowledge is understood as being tentative and less reliable than the form and price forecasts based upon Elliott Wave analysis. Nevertheless, it will increase in utility if, as the forecasted times are approached, the market is behaving in such a way as to indicate the high probability of a low in the making, i.e., with price patterns, momentum indicators and investor sentiment all commensurate with a projected cyclic bottom.